

PASSIVE INVESTING

Index funds and ETFs are two ways of passive investing. ETFs are traded over the exchange and can be bought and sold like ordinary shares. At the same time, index funds are bought and sold like mutual funds.

ETFs generally have a lower expense ratio than index funds. When selecting ETFs and index funds, the key metric to be used to evaluate the best fund is the expense ratio as everything else is pretty much standard. The idea is that both ETF and index funds track the index or asset class for returns and as a result, those who can do it for a lower price should be bought. As a result, ETFs are recommended over Index Funds.



EXCHANGE TRADED FUNDS (ETF)

Traded on the stock market like equity shares



INDEX FUNDS

Available in the market like Mutual Fund Units.